

Estate and cash flow protection: IFAs with participating life insurance



Overview

This case study highlights how the Canada Life Wealth Achiever™ product can be utilized for an immediate financing arrangement (IFA). The IFA is a strategy for successful business owners and high-net-worth individuals with stable cash flow, seeking tax-efficient estate planning and liquidity. The case study shows the important role you play in structuring these policies effectively to ensure positive outcomes for you and your clients.

Meet Amanda

Amanda is 50 years old and is a successful real estate developer at a firm called Switzer and Power. She wants to protect her estate to leave a legacy for her children and to replace company funds used for insurance premium payments.

Advisor's recommendation

Her advisor recommended Wealth Achiever, pay to 100 with paid-up additions and maximum additional deposit option (ADO), with premium offset starting in year 11. The policy would be owned by Amanda's company Switzer and Power. The client can use the policy as collateral to set up an IFA with their bank.

Amanda's corporation would be the owner and beneficiary. The corporation would pay the premium to the insurance company and the policy would be collaterally assigned to a bank or other lender. Each year, once the lender has been notified that the premium payment has been made, it would release the loan proceeds for that year to the corporation. Typically those funds would be re-invested back into the business or into the corporation's passive investment portfolio. The corporation would be responsible for servicing the interest on the loan. Upon Amanda's death, the payout at death would first go towards paying off the outstanding loan and whatever is left would be paid to the corporation as the beneficiary.

How the policy became invaluable for Switzer and Power real estate

This strategy would provide a significant payout to Switzer and Power if she were to die. In addition, they free up cash flow that otherwise would be spent on insurance premium payments.

This strategy is a great way for a risk-tolerant business owner to benefit from strong cash flows. It's important to remember that at minimum, in addition to the required premiums, the client must pay the interest payments on the loan. The payments may change depending on the structure of the collateral loan and the lender may have their own requirements.

It is important to understand that this is a complex strategy and it is advisable to retain the services of an accountant or lawyer to determine the appropriateness of this strategy.

This information is general in nature and for educational purposes only and should not be construed as tax or legal advice.